

THE WALL STREET JOURNAL.

DOW JONES | News Corp

FRIDAY, DECEMBER 5, 2025 ~ VOL. CCLXXXVI NO. 133

WSJ.com

★★★★ \$5.00

DJIA 47850.94 ▼ 31.96 0.07% NASDAQ 23505.14 ▲ 0.2% STOXX 600 578.84 ▲ 0.5% 10-YR. TREAS. ▼ 13/32, yield 4.107% OIL \$59.67 ▲ \$0.72 GOLD \$4,211.80 ▲ \$12.50 EURO \$1.1646 YEN 155.12

What's News

Business & Finance

- ◆ **Warner Bros. Discovery** has entered exclusive talks for a deal to sell its studios and HBO Max streaming business to Netflix, a move that would reshape the entertainment industry. **A1**
- ◆ **U.S. stocks ended mixed**, with the S&P 500 and Nasdaq rising 0.1%, and 0.2%, respectively, while the Dow industrials fell 0.1%. **B10**
- ◆ **Initial jobless claims** last week dropped to the lowest level in three years amid a broader patchwork of uneven labor-market data. **A2**
- ◆ **Meta Platforms plans** cuts to the metaverse, an arena Mark Zuckerberg once called the future of the company, as part of its budget planning for 2026. **B1**
- ◆ **The European Commission** opened an investigation into whether Meta's rules governing AI developers' access to WhatsApp hurt competition. **B1**
- ◆ **Apple said** two more top executives plan to retire, adding to a wave of departures of senior officials at the iPhone manufacturer. **B4**
- ◆ **Activist investor Elliott** was close to reaching a settlement agreement with PepsiCo after taking a big stake in the snacks and drinks maker in September. **B3**
- ◆ **Billionaire investor Josh Harris's** firm, 26North Partners, struck a deal to take a controlling stake in Middleby's kitchen-products division. **B1**
- ◆ **Consumer resilience** helped boost Dollar General's third-quarter profit and sales and prompted the company to raise its full-year outlook. **B3**

World-Wide

- ◆ **Work permits issued** to immigrants who have applied for asylum or a range of other humanitarian programs will now be valid for 18 months rather than five years under a new Trump administration policy. **A1**
- ◆ **The Supreme Court** will allow Texas to use a congressional map that adds as many as five Republican seats for next year's midterm elections, boosting the GOP's chances of retaining control of the House. **A3**
- ◆ **U.S. authorities charged** a man who they said placed two pipe bombs near the Democratic and Republican national committees' headquarters the night before the Jan. 6 riot at the Capitol. **A3**
- ◆ **A grand jury declined** to approve a new indictment against New York Attorney General Letitia James, days after the first one was dismissed. **A3**
- ◆ **Russian President Vladimir Putin** embarked on a visit to India, aiming to protect a partnership that is a crucial economic and diplomatic lifeline for Moscow. **A16**
- ◆ **European leaders** warned Ukraine's Zelensky not to give in to Russian demands in peace negotiations without ironclad security commitments from the U.S. **A8**
- ◆ **The Pentagon is** deploying to the Middle East a new kamikaze drone copied from a widely used Iranian version and built by an Arizona-based defense company. **A3**
- ◆ **U.S. Steel plans** to resume steelmaking at an Illinois plant where the Trump administration intervened last summer to keep production going. **A2**

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Admiral Defends Killing of Boat-Strike Survivors



ANNA MONET/GETTY IMAGES

CONFLICTING VIEWS: Adm. Frank 'Mitch' Bradley said in a House briefing Thursday that a second strike on a boat was warranted because the survivors meant to continue a drug run. Democratic members said video shows the targets were in distress. **A4**

Trump's Allies Orchestrated Ex-Honduran Leader's Pardon

Cocaine trafficker Hernández was freed from prison with help of powerful network

President Trump's pardon of former Honduran President Juan Orlando Hernández was the result of something

By Vera Bergengruen, Alex Leary, José de Córdoba and Josh Dawsey

extraordinary for a Central American leader and convicted cocaine trafficker—a web of powerful advocates

stretching from Washington to Mar-a-Lago.

Trump's announcement stunned the president's allies and some members of his administration, including officials who spent years building the landmark case against Hernández, people familiar with the matter said. The decision allowed Hernández, who was serving a 45-year prison term for conspiring with cartels to ship 400 tons of cocaine to the U.S., to walk free this week as the Trump administration escalates its war on narco-traffickers by launching airstrikes on low-level smugglers at sea.

The move wiped out Hernández's conviction with

little explanation and sparked outrage from Democrats and some Republicans.

The pardon, which Trump announced in the run-up to elections in Honduras, was the result of a lobbying campaign months in the making. Hernández's appeal quietly circulated since January through a tight orbit of Trump confidants and conservative media personalities.

Trump privately has told advisers that he granted the pardon after his allies in Florida, including longtime confidant Roger Stone and members of his Mar-a-Lago club, pushed for it, a person who spoke to him said. Trump told

reporters that "the people of Honduras" asked him to pardon Hernández, blaming then-President Joe Biden for targeting the former Honduran leader. The White House declined to detail Trump's conversations with Hondurans and defended the pardon, pointing to the president's comments.

Hernández, a 57-year-old political operator from a Honduran coffee-growing family who was president from 2014 to 2022, spent a decade building powerful allies in the U.S. During Trump's first term, he made inroads with Republicans, attending evangelical events and pitching himself as

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Two Types of Shoppers Fuel Holiday Spending

Two different consumers are fueling this year's holiday-shopping season: High-end luxury shoppers and deal hunters making everyday spending trade-offs to keep gifts flowing.

By Sarah Nassauer, Suzanne Kapner and Natasha Khan

The myriad choices these more-cautious shoppers are making help illuminate why spending is up but consumer confidence is dragging in the final stretch of the year. On Black Friday, the year's busiest shopping day, sales rose 4.1% compared with last year, Mastercard data show.

Even with holiday shopping off to a robust start, consumers—especially those from less-affluent households—are pulling back on routine purchases as they give priority to gifts and holiday meals. Sales on things that can wait, such as haircuts, pricier razors and fast-casual lunches, are slipping.

Spending on clothing, toys and other seasonal items, on the other hand, is strong. And some of the biggest sales increases from last year are in luxury goods like clothing and accessories.

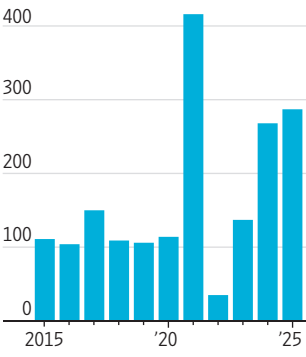
While upper and middle-income customers continue to spend, those on the lower side

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Billionaires' Club Grows

Record numbers are minted amid soaring tech valuations and rising stock markets. **A2**

Number of new billionaires each year worldwide



Note: Data are for 12-month periods ended in early April of each year. Source: UBS/PWC Billionaires Database and wealth assessment methodology

Warner, Netflix in Exclusive Deal Talks

Warner Bros. Discovery has entered exclusive negotiations for a deal to sell its studios and HBO Max streaming business to Netflix, a move that

By Lauren Thomas, Joe Flint and Dave Michaels

would dramatically reshape the entertainment and media industry, according to people familiar with the matter.

Warner's move to exclusive talks with Netflix comes after the latest round of bids for the media company. Paramount and Comcast also have been pursuing Warner Discovery. All three companies came in

with sweetened offers this week. Netflix has submitted a mostly cash bid, The Wall Street Journal previously reported.

Meanwhile, Paramount took aim at Netflix's bid in a Monday letter to Warner Discovery's lawyers, saying a sale to Netflix would likely "never close" because of regulatory challenges here and abroad, given its global dominance.

Paramount has been arguing that it offers the cleanest regulatory path to closing compared with Netflix and Comcast.

Paramount, led by David Ellison, wants to buy the entire

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People Are Hooked on Videos That Turn Politicians Into Babies

* * *

Diaper Diplomacy fans say current events go down easier when Trump, Putin are cute

By ASHLEY WONG

One of Tori Branum's favorite videos on the internet depicts Secretary of Defense Pete Hegseth telling a room full of people dressed in military garb that he was sick of seeing "fat generals" in the Pentagon.

That really happened. Except in this video, all of the people in the room are babies—Hegseth included.

This is the appeal of Diaper Diplomacy, a collection of social-media channels that use artificial intelligence and a touch of irony to turn all the adults in clips real news

events into toddlers. In what may be the biggest twist, the baby news business is booming. It turns out current events go down easier when Putin and Trump are cute.

"Babies make people laugh," said Branum, 47, a Marine Corps veteran running for Congress in Georgia. "And when you take an adult perspective and it's coming out of the mouth of what looks like a baby, it's just funny."

In one video, baby versions of New York City Mayor-elect Zohran Mamdani—sporting a full mustache and beard—and former New York Gov. Andrew

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'Chemtrails' Suspicion Dogs Drought Battle

Rainmaker startup made cloud seeding high tech but faces conspiracy theory

By KRIS MAHER

SALT LAKE CITY—Augustus Doricko, a mullet-wearing 25-year-old who commands a small army of meteorologists and drone pilots, stood in the parched foothills of the Uinta Mountains and squinted at the sky.

The young CEO was over-seeing one of the largest cloud-seeding projects in U.S. history. He watched two drones complete their missions and touch down on a cattle ranch below. Like generations before him, he was trying to make it rain.

"This is what it's all about," said Doricko, who was running on two hours of sleep, coffee and nicotine patches. "If we don't make more water for the Great Salt Lake, there's going to be extraordinary problems."

Since the 1950s, water districts out West have used cloud seeding—which typically involves releasing silver iodide from planes or ground generators into clouds to boost snow or rain—to benefit farmers, ranchers and ski resorts, largely without controversy.

Rainmaker, a startup that got an early boost from bil-

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INSIDE



MANSION

A tony enclave near Nashville tries to preserve tradition as newcomers flock in. **M1**

BUSINESS & FINANCE

Arizona miners are using bacteria in a bid to unleash a new copper boom. **B1**